

MediaTek

#Semiconductor #5G Smartphone

↑ Buy

Price: TWD 1,395

Target Price: TWD 1,800

Upside: 29%

Total return: 33%

Risk: High

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MARKET DATA

Bloomberg	2454 TT
RIC	2454.TW
Market cap (USD\$bn)	71.3
Average daily T/O (USD\$m)	302.8

The Great Leap

We upgrade MediaTek (MTK) from HOLD to BUY (TP TWD1,800, 20x 2027E P/E) as TPU visibility is strengthening. We project MTK will meet its 2026E AI revenue guidance for \$1bn, with TPUs alone subsequently contributing ~40% of 2027E profit due to operating leverage. Critically, MTK has secured a new TPU product series (not just an efficiency variant alongside AVGO's performance chip), establishing a more sustainable business and opening an opportunity to build its track record for future ASIC wins from other customers. Given this robust 2027E earnings potential, long-term investors can look through the muted 2026E, although key risks remain execution, Google's product strategy, and potential core business deterioration.

Google's win opens up the opportunities

Google's TPU was historically for internal usage only. This year, Google has gained meaningful TPU cloud business from external customers, including Open AI, Anthropic, and Meta, while ByteDance and Apple are also potential clients. The success of its Gemini AI is also attracting more users, which is also increasing Google's compute power demand for both TPUs and GPUs. We believe this will lead to not only a bigger volume of each TPU, as we mentioned in our AVGO note, but also a requirement for different TPUs designed for different workloads.

Potentially a new series, but just a side project

MTK's TPU project (Zebrafish) taped out in October. The HVM schedule remains in 4Q26E. We now expect the shipments will reach 300k in 2026E and revenue will exceed its \$1bn guidance. Over its life cycle, we now expect the volume to be increased to 3.5m units from the previous 2-2.5m, and that life-cycle value will reach \$10b+. We have cited that MTK has started working with Google on the next generation. What excites us more is that we now believe it is potentially not only a next-generation product but a new series of TPUs, that is, MTK could have its own P (Fish) and E (Lite) variants. Both the business sustainability and revenue potential will be better in this scenario, and we believe Google's robust cloud business momentum is the reason for this.

Core business deterioration around the corner, but it doesn't necessarily matter

We anticipate MTK's core earnings to decline by a double-digit percentage YoY in 2026E. Price hikes for memory and other components is likely to cause prices for consumer devices to also increase meaningfully in 2026E. We estimate MTK's smartphone and DTV together account for 60%+ of its 2025E revenue, and its other smart-edge businesses such as connectivity and tablet, will also be adversely impacted. Nevertheless, we argue the potential downward revision for 2026E earnings is no longer that important for long-term investors if what we expect – that TPU alone can contribute 40%+/50%+ of its consolidated profit in 2027/28E – proves correct. We believe investors should look through 2026 for its corporate transformation opportunity from a consumer-centric company to an AI/DC-focused company, which is positive for both profit and multiple.

KEY FINANCIAL AND VALUATION MATRIX

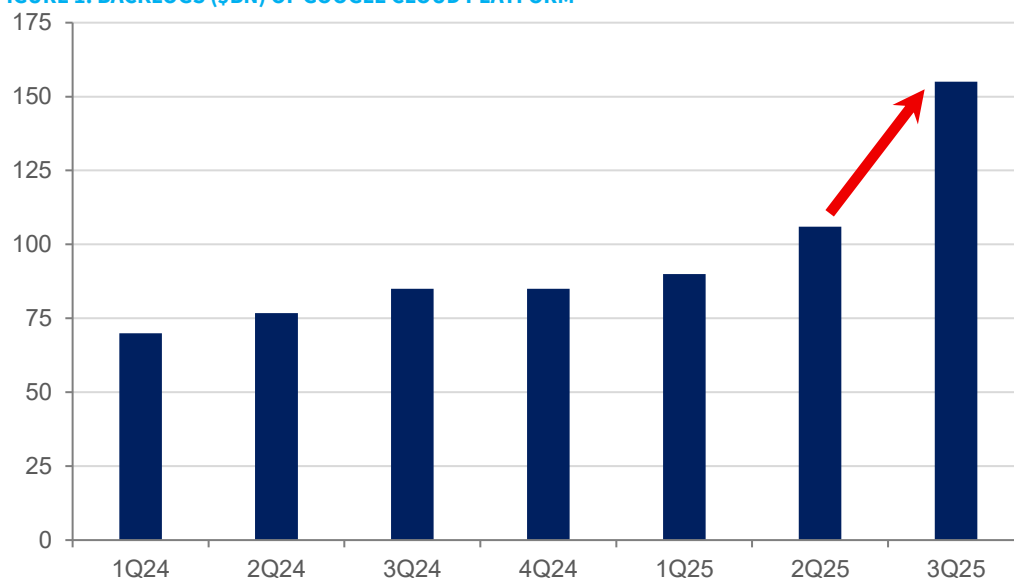
Dec 31 (TWD bn)	21A	22A	23A	24A	25E	26E	27E
Revenues	493	549	433	531	592	607	832
Op. Profit	108	127	72	102	104	92	146
Net Profit	111	118	77	106	105	95	142
EPS (\$)	70.22	74.19	48.33	66.78	65.89	59.27	88.79
Consensus EPS (\$)	-	-	-	-	66.44	72.45	90.19
PE (X)	19.9	18.8	28.9	20.9	21.2	23.5	15.7
PB (X)	5.1	5.0	5.9	5.5	5.0	4.9	4.3
Dividend Yield (%)	2.6	5.2	5.4	3.9	3.8	3.8	3.5
DPS (TWD)*	36.9	73.0	76.0	55.0	53.7	53.2	48.2
ROE (%)	27.6	27.0	18.8	27.3	24.5	20.8	28.9

Source: Company, Bloomberg, Aletheia/TAG

Google AI Cloud is on a roll...

Google is winning AI cloud business rapidly. As of its 3QFY25, it reported a backlog worth \$155bn, up 82% compared to \$85bn in the same period a year ago. In its results discussion recently, the company revealed that it had signed more deals worth \$1bn in the first nine months of 2025 than in the *previous two calendar years combined*. In addition, Google has won 34% more new or first-time customers to its Google Cloud Platform. Google attributed the success to its fully integrated AI-optimized stack, which includes its own custom TPUs and industry-leading AI models. We list some of the notable deals Google Cloud has won below.

FIGURE 1: BACKLOGS (\$BN) OF GOOGLE CLOUD PLATFORM



Source: Google

In October 2025, Google and Anthropic entered an agreement to grant the latter access to up to 1mn of Google's TPUs to build up over 1GW of compute capacity by 2026. We believe this deal is worth tens of billions of dollars of investment, although the two companies did not disclose the exact details. Prior to this deal, Anthropic had been leveraging on AWS' in-house hardware solution (Annapurna) – Trainium accelerator to train its AI model (and more recently NVDA's GPUs). Anthropic cited the TPUs' price-performance and efficiency as reasons for expanding TPU usage. As such, this deal means Google Cloud becomes a primary infrastructure provider for Anthropic's Cloud AI model, in addition to the existing AWS Trainium. We think GCI is likely to operate.

More recently, Google finalized a deal with Apple for the latter to use a customized version of Google's Gemini AI model to power Siri in iPhones and other hardware. Apple will pay Google approximately \$1bn a year. This deal signified the Gemini model's competitive edge as Apple has been resisting using an external AI model, preferring an internal solution. Critically, Apple reports over 2.3bn active devices across all product lines and as such Google is likely to dedicate a meaningful amount of Google AI Cloud capacity, and therefore TPU volume, to support Apple's Siri.

In August, Meta and Google signed a six-year cloud computing deal valued at over \$10bn. Meta will use Google's AI cloud infrastructure to support its AI initiative including the Llama AI model. The primary goal is to provide Meta with the massive computing power, including servers, storage, and networking, needed to train and scale its AI models and integrate them

across its products. Despite Meta and Google being the fiercest competitors in the digital advertising marketplace, this partnership highlights the superiority of Google's AI Cloud infrastructure capability (relative to existing solutions), which is eventually forcing even the rivals to collaborate.

In July, OpenAI signed a strategic deal with Google Cloud to use its AI Cloud infrastructure. While neither side disclosed the size of the agreement, the agreement is a significant, high-profile partnership aimed at securing a huge amount of computing power for OpenAI growing needs. The deal ends OpenAI's near-exclusive reliance on Microsoft Azure for its cloud computing needs. This reflects a wider industry trend for AI companies to use multiple providers to:

- reduce vendor lock-in,
- manage costs, and
- ensure reliability and resilience.

One of the core components of the agreement gives OpenAI access to Google's custom-built TPU specialized AI accelerator chips designed for machine learning workloads. This is in addition to the current merchant GPU solution providers such as NVDA and AMD.

In addition to the tech companies, Google has also won several notable deals with government and public sector bodies. In September, the UK Ministry of Defence (MoD) and Google Cloud signed a contract worth significantly more than \$500mn for a new, secure sovereign cloud platform to enhance the MoD's data security, analytics, and AI capabilities. The deal will allow the MoD to integrate Google's advanced AI (via the Google Distributed Cloud air-gapped system), machine learning, and data analytics tools to gain faster insights and enhance operational readiness. This deal is a major win for Google Cloud in the UK public sector, which has traditionally seen Microsoft and AWS secure a larger foothold. The MoD maintains a multi-cloud approach, using services from AWS, Microsoft Azure, and Oracle alongside this new Google deal.

Similarly, NATO has signed a multi-million contract with Google Cloud for a sovereign cloud capability. The primary objective is to:

- modernize NATO's digital infrastructure,
- strengthen data governance, and
- enable the secure use of advanced artificial intelligence (AI) and analytics for operational needs.

The contract centers on the use of the Google Distributed Cloud air-gapped system. This technology runs in an isolated, hardened environment physically disconnected from the public internet and Google's public cloud, which is crucial for handling sensitive and classified information.

In addition, Google also won several sovereign cloud deals such as with UAE in April, GAS (US General Services Administration) in August and Saudi Arabia in May – a \$10bn deal with the Public Investment Fund to advance the creation of an AI hub in the kingdom. All these partnerships show Google's strategy to increase its market share in the AI infrastructure space by using its specialized hardware (TPUs), in addition to GPUs, and providing secure, sovereign cloud solutions for sensitive operations.

A closer look at MTK's TPU business

MTK has engaged with Google for TPU business for years but tape out for the first product – Zebrafish – was only done in the last month. We believe Zebrafish consists of two logic chips – a N3 compute tile designed by Google and a N5 IO tile provided by MTK. Total HBM density is 144GB (6x 8Hi HBM3E). Its package size is 2.7x reticle size.

We believe Zebrafish is designed for machine learning and training, which is different from the conventional wisdom that MTK is designing a lower-grade TPU (“Efficiency version”, compared with AVGO’s “performance version”) and is mostly used for inferencing. It is highly likely there is another chip called “Zebralite,” which belongs to Zebrafish’s families and is optimized for inferencing, though, at this stage, we cannot 100% confirm the existence of Zebralite and its details, including spec and vendors.

After Zebrafish, we believe MTK has started working with Google on the next TPU product (Zebrafish-next). We need more time to gather more details about Zebrafish-next. Our limited information now includes:

- 1) its logic chips should include tiles from both N2 and N3,
- 2) its reticle size could be as high as 9.5x reticle size, and
- 3) it is possibly adopting Intel’s EMIB-T.

We should have more detailed specs in 1H26 for the first engineering test vehicle coming out. We think Zebrafish-next will also focus on training, but just for different workloads compared to what AVGO’s TPU is designed for. We also believe some variants of Zebrafish-next will be dedicated to inferencing for similar workloads that Zebrafish-next is designed for.

FIGURE 2: CONFIGURATION AND SUPPLY CHAIN FOR GOOGLE’S ASICS & SERVERS

CSP	ASIC name	ODM code	Design partner	Process node	Memory spec	Memory density	Cooling	Accelerator module OEM	Server ODM	ASIC volume*	IC MP schedule	ASIC node per rack	Scale-up switch
Google	TPU 6e	Ghostlite	Broadcom	N5+N7	4x HBM3E (8Hi)	48GB	3DVC air	Celestica	In-house	1.5-2m	1Q25	48	-
	TPU 6P	Ghostfish / Ironwood	Broadcom	N3+N5	8x HBM3E (8Hi)	192GB	3DVC air	Celestica	Tray: in-house L11:Jabil, Flex	3-4m	4Q25	64	-
	TPU 7e	Zebrafish	Google/MTK	N3+N5	6x HBM3E (8Hi)	144GB	Liquid	Celestica, Jabil, Flex	Tray: in-house L11:Jabil, Flex	3-4m	1Q27	64	ICI
	TPU 7P	Sunfish / Hellcat	Broadcom	N3+N4	8x HBM3E (12Hi)	288GB	Liquid	Celestica, Jabil, Flex	Tray: in-house L11:Jabil, Flex	3-4m	3Q26	64	ICI
	TPU 8e	N.A	Google/MTK	N2+N3	6x HBM4 (12Hi)	216GB	Liquid	N.A	N.A	N.A	Late-27	N.A	N.A
	TPU 8P	N.A	Broadcom	N2+N3	8x HBM4 (12Hi)	288GB	Liquid	N.A	N.A	N.A	Late-27	N.A	N.A
	TPU 9	N.A	Broadcom	A16+N3	HBM4	TBD	N.A	N.A	N.A	N.A	H2 2028	N.A	N.A

Source: Aletheia/TAG

Quantifying AI ASIC contribution

In our model, we now forecast MTK will have only one customer (Google) and one product line (Zebrafish and Zebrafish-next). We have not factored in any variants such as Zebralite or Zebralite-next. We also just recently learnt about these new products and believe it is prudent for us to only factor in contributions from these devices once we have more details, even though we believe the probability is high.

We estimate Zebrafish's ASP to be at ~\$3,500, with a mid-30% GM. MTK's pricing does not include HBM, which Google sources by itself. MTK carries all other costs from, for example, front-end wafers to back-end CoWoS and testing. We believe MTK even handles the order placement for the compute tiles (the N3, which Google designs). We estimate MTK's dollar profit per chip is north of \$1,000.

We estimate the life-time volume to be 3.5m units, starting from 4Q26 and ending in 1H28, before its successor Zebrafish-next enters HVM. We assume shipments in 2026/27/28E to be 300k/2m/1.2m, implying \$1.1bn/\$7bn/\$4.2bn in each year.

For Zebrafish-next, we now assume its ASP to be around \$10,000, <3x of Zebrafish, judging from its package size (9.5x reticle size vs 2.7x for Zebrafish), with a discount for the potential cost saving from EMIB-T. We are modelling 700k shipments in 2028E, implying \$7bn revenue.

To conclude, our assumptions suggest TPU ASICs alone will be 5%/26%/34% of MTK's revenue in 2026-28E, and that accordingly its gross profit share will be 4%/21%/29%. Given the potential operating leverage, we believe the operating profit share will be much higher than the revenue and GP share.

FIGURE 3: ESTIMATED 'POTENTIAL DEMAND FOR COWOS CAPACITY'

	Revenue			GP		
	2026E	2027E	2028E	2026E	2027E	2028E
Revenue (US\$ b)						
AI	1.1	7.0	11.2	0.4	2.5	3.9
Non-AI	18.5	19.8	21.3	8.4	9.0	9.6
Total	19.6	26.8	32.5	8.7	11.4	13.5
Revenue share						
AI	5%	26%	34%	4%	21%	29%
Non-AI	95%	74%	66%	96%	79%	71%

Source: Aletheia/TAG estimates

Earnings revision

Despite our constructive view for its ASICs (mainly TPU), we still cut our 2025/26/27E earnings by 3%, 13%, and 4%, respectively. We are taking a more conservative stance about its core business outlook into 2026E and to some extent 2027E. The recent surge in component prices such as memory is likely to impact consumer demand negatively. We estimate MTK's smartphone and DTV together account for 60%+ of its 2025E revenue, and both will be badly hurt. Its other revenue such as tablet chips and connectivity chips are also mostly consumer facing. As such, we are modelling a 3% YoY revenue decline for its core business in 2026E, with margins declining to <45%.

We are assuming a moderate recovery in revenue and margin stabilization for its core business in 2027E. Therefore, our estimate for GM decline is due mainly to its product mix (more ASICs). At the same time, however, we are modelling a recovery in the OP margin back to 17-18% in 2027E from ~15% in 2026E driven by operating leverage.

Our 2026/27F EPS are now 18%/2% below Bloomberg consensus. One may wonder how we could have a BUY rating since our 2026/27F earnings are both below the Street's. But we

believe the current share price has not factored-in its earnings power from TPUs, which we see improving visibility.

The stock has been traded at 15-20x P/E and mostly stayed at close to 20x in the recent years. The shares have underperformed TWSE, TSMC, and the MXCI Asia-tech ex. Japan Index by 21%, 33% and 29% YTD, respectively. It was literally flattish YTD (+2.7% including dividends) and only picked up in the past few days driven by the TPU news. We still believe the consensus downward revision for 2026E earnings will be meaningful in its 4Q25 earnings call, likely by end of January or early February 2026. Should the TPU story be true, we think investors should look through the cut in earnings and add a position in MTK.

FIGURE 4: MEDIATEK- ESTIMATE CHANGE

(NT\$bn)	4Q25F			2025F			2026F			2027F		
	New	Prev	Var (%)	New	Prev	Var (%)	New	Prev	Var (%)	New	Prev	Var (%)
Sales	146.2	146.2	0.0	592.0	592.0	0.0	607.3	592.7	2.5	832.1	748.7	11.1
Gross profit	67.5	69.0	(2.0)	281.3	284.3	(1.1)	270.7	279.5	(3.2)	354.1	345.1	2.6
Operating profit	22.2	23.6	(6.0)	103.8	108.1	(4.0)	92.0	107.7	(14.6)	146.4	151.0	(3.0)
Net profit	22.6	24.6	(8.2)	105.0	107.7	(2.5)	95.1	109.7	(13.3)	142.4	147.7	(3.6)
EPS (NT\$)	14.16	15.43	(8.2)	65.89	67.60	(2.5)	59.27	68.47	(13.4)	88.79	92.20	(3.7)
Gross margins	46.2	47.2	(1.0)	47.5	48.0	(0.5)	44.6	47.2	(2.6)	42.6	46.1	(3.5)
OP margins	15.2	16.2	(1.0)	17.5	18.3	(0.7)	15.1	18.2	(3.0)	17.6	20.2	(2.6)
Net margins	15.4	16.8	(1.4)	17.7	18.2	(0.5)	15.7	18.5	(2.9)	17.1	19.7	(2.6)

Source: Company, Aletheia Capital, TAG

FIGURE 5: MEDIATEK - ESTIMATE VS CONSENSUS

(NT\$bn)	4Q25F			2025F			2026F			2027F		
	Aletheia	Street	Var (%)	Aletheia	Street	Var (%)	Aletheia	Street	Var (%)	Aletheia	Street	Var (%)
Sales	146.2	147.9	(1.1)	592.0	591.2	0.1	607.3	654.6	(7.2)	832.1	790.1	5.3
Gross profit	67.5	68.6	(1.6)	281.3	281.6	(0.1)	270.7	305.6	(11.4)	354.1	368.1	(3.8)
Operating profit	22.2	23.5	(5.5)	103.8	106.0	(2.1)	92.0	118.6	(22.4)	146.4	153.3	(4.5)
Net profit	22.6	23.8	(5.0)	105.0	106.0	(1.0)	95.1	115.4	(17.7)	142.4	144.4	(1.4)
EPS (NT\$)	14.2	14.95	(5.2)	65.89	66.44	(0.8)	59.27	72.45	(18.2)	88.79	90.19	(1.5)
Gross margins	46.2	46.4	(0.2)	47.5	47.6	(0.1)	44.6	46.7	(2.1)	42.6	46.6	(4.0)
OP margins	15.2	15.9	(0.7)	17.5	17.9	(0.4)	15.1	18.1	(3.0)	17.6	19.4	(1.8)
Net margins	15.4	16.1	(0.6)	17.7	17.9	(0.2)	15.7	17.6	(2.0)	17.1	18.3	(1.2)

Source: Company, Aletheia Capital, TAG

EARNINGS MODEL

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E	2024	2025E	2026E	2027E
Shipments (m units)																
Smartphones	110	95	104	105	127	102	101	96	99	102	101	101	414	426	403	413
5G Smartphone	51	45	47	49	57	54	53	53	51	54	53	53	192	217	211	221
4G LTE Smartphone	59	50	57	56	71	48	48	43	48	48	48	48	222	210	192	192
Tablets/Chromebooks	5	5	5	5	5	5	6	5	5	5	6	5	20	21	20	21
D-TVs	30	33	38	35	40	44	40	38	34	38	38	35	137	162	144	155
AI ASICs	-	-	-	-								0.3			0.3	2.0
Sales mix (%)																
Smartphones	61	54	54	58	56	52	53	56	53	50	49	45	57	54	49	36
Tablets/Chromebooks	1	1	1	1	1	1	1	1	1	1	1	0	1	1	1	0
D-TVs	10	11	13	11	11	12	11	11	11	12	12	8	11	11	10	8
AI ASICs												18			5	26
Others	29	34	32	30	32	36	35	32	36	38	39	29	31	34	35	29
Smartphone analysis																
Blended ASP (US\$)	23.4	22.3	21.3	23.8	20.7	24.8	24.9	27.7	24.3	22.1	22.0	26.7	22.7	24.3	23.8	23.4
Blended GM (%)	53.0	47.5	47.0	47.3	46.6	48.1	46.0	44.0	42.9	42.9	42.9	42.9	45.2	45.5	42.9	42.4
P&L model (NT\$bn)																
Revenue	133.5	127.3	131.8	138.0	153.3	150.4	142.1	146.2	140.0	139.8	142.2	185.3	530.6	592.0	607.3	832.1
COGS	(63.6)	(65.1)	(67.5)	(71.0)	(79.5)	(76.5)	(76.0)	(78.7)	(76.9)	(76.6)	(77.9)	(105.2)	(267.2)	(310.7)	(336.6)	(478.0)
Gross profit	69.9	62.1	64.3	67.0	73.8	73.9	66.1	67.5	63.1	63.2	64.4	80.1	263.4	281.3	270.7	354.1
OPEX	(37.7)	(37.2)	(40.5)	(45.6)	(43.8)	(44.5)	(43.9)	(45.3)	(42.8)	(42.5)	(43.4)	(50.0)	(161.0)	(177.5)	(178.7)	(207.7)
Operating profit	32.2	25.0	23.9	21.4	30.1	29.4	22.2	22.2	20.3	20.7	21.0	30.1	102.4	103.8	92.0	146.4
Non-op	3.5	4.2	4.6	4.8	4.5	3.8	7.8	4.4	4.3	4.3	4.3	4.3	17.1	20.5	17.3	17.3
Profit before tax	35.7	29.2	28.4	26.2	34.6	33.2	30.0	26.6	24.6	25.0	25.3	34.4	119.5	124.3	109.3	163.7
Tax	(4.1)	(3.5)	(3.1)	(2.4)	(5.2)	(5.4)	(4.7)	(4.0)	(3.2)	(3.2)	(3.3)	(4.5)	(13.1)	(19.3)	(14.2)	(21.3)
Net profit	31.5	25.7	25.3	23.8	29.3	27.8	25.2	22.6	21.4	21.7	22.0	30.0	106.4	105.0	95.1	142.4
FD EPS (NT\$)	19.80	16.15	15.91	14.92	18.43	17.47	15.83	14.16	13.32	13.54	13.73	18.68	66.78	65.89	59.27	88.79
Margin (%)																
GM	52	49	49	49	48	49	47	46	45	45	45	43	50	48	45	43
OPM	24	20	18	16	20	20	16	15	14	15	15	16	19	18	15	18
PTM	27	23	22	19	23	22	21	18	18	18	18	19	23	21	18	20
NP	24	20	19	17	19	19	18	15	15	16	15	16	20	18	16	17
QoQ chg (%)																
Revenue	3	(5)	4	5	11	(2)	(6)	3	(4)	(0)	2	30	-	-	-	-
Gross profit	12	(11)	4	4	10	0	(11)	2	(7)	0	2	25	-	-	-	-
Operating profit	30	(22)	(4)	(10)	40	(2)	(24)	0	(9)	2	2	44	-	-	-	-
Net profit	23	(18)	(1)	(6)	23	(5)	(9)	(10)	(5)	2	1	36	-	-	-	-
EPS	23	(18)	(2)	(6)	24	(5)	(9)	(10)	(6)	2	1	36	-	-	-	-
YoY chg (%)																
Revenue	40	30	20	7	15	18	8	6	(9)	(7)	0	27	22	12	3	37
Gross profit	52	33	23	7	6	19	3	1	(15)	(14)	(3)	19	27	7	(4)	31
Operating profit	124	69	33	(13)	(7)	18	(7)	4	(33)	(30)	(5)	36	43	1	(11)	59
Net profit	87	61	37	(7)	(7)	8	(0)	(5)	(27)	(22)	(13)	33	38	(1)	(9)	50
EPS	87	61	37	(7)	(7)	8	(1)	(5)	(28)	(23)	(13)	32	38	(1)	(10)	50

Source: Company, Aletheia/TAG

Financial statements

INCOME STATEMENT

FYE Dec. (TWD, bn)	FY23A	FY24A	FY25F	FY26F	FY27F
Revenue	433.4	530.6	592.0	607.3	832.1
COGS	(226.1)	(267.2)	(310.7)	(336.6)	(478.0)
Gross profit	207.4	263.4	281.3	270.7	354.1
Operating expense	(135.6)	(161.0)	(177.5)	(178.7)	(207.7)
EBITDA	90.0	123.3	126.7	115.1	169.5
Operating profit	71.8	102.4	103.8	92.0	146.4
Net non-op income	15.0	17.1	20.5	17.3	17.3
Profit before tax	86.8	119.5	124.3	109.3	163.7
Tax	(9.6)	(12.4)	(18.7)	(14.2)	(21.3)
Minority Interest	(0.2)	(0.8)	(0.7)	-	-
Net Profit	77.0	106.4	105.0	95.1	142.4
EPS \$	48.3	66.8	65.4	59.3	88.8

Change

Revenue	-21.0%	22.4%	11.6%	2.6%	37.0%
Gross profit	-36.5%	37.1%	2.7%	-9.2%	47.3%
Operating profit	-43.4%	42.6%	1.4%	-11.4%	59.2%
Net Profit	-34.8%	38.2%	-1.3%	-9.4%	49.8%
EPS	-34.9%	38.2%	-2.0%	-9.4%	49.8%

CASH FLOW

FYE Dec. (TWD, bn)	FY23A	FY24A	FY25F	FY26F	FY27F
Net profit	77.0	106.4	105.0	95.1	142.4
Dep. & amortisation	18.2	20.9	22.9	23.1	23.1
Chg in WC	30.5	-2.1	-26.7	-36.2	-31.1
Others	40.4	30.8	27.9	19.5	22.0
OPN cash flow	166.1	156.1	129.1	101.4	156.3
Capex	-9.3	-13.8	-12.7	-10.0	-10.0
Chg in investment	-12.2	-14.5	0.2	-1.3	-1.3
Others	-7.3	-7.7	-10.7	3.1	3.0
Investing CF	-28.7	-35.9	-23.1	-8.2	-8.3
Chg in debt	-3.1	-2.2	13.8	-2.3	-1.5
Equity raised	0.1	0.0	0.0	0.0	0.0
Dividends (paid)	-121.0	-87.6	-86.1	-85.3	-77.3
Others	5.5	-0.4	-1.6	0.0	0.0
Financing CF	-118.6	-90.1	-73.8	-87.7	-78.8
FX & other adj.	-0.9	8.3	-10.0	0.0	0.0
Chg in cash	17.9	38.3	22.2	5.6	69.2
Beginning cash	147.5	165.4	203.7	225.9	231.4
End cash	165.4	203.7	225.9	231.4	300.7
FCF	156.8	142.3	116.5	91.4	146.3

BALANCE SHEET

FYE Dec. (TWD, bn)	FY23A	FY24A	FY25F	FY26F	FY27F
Cash/ST investments	180.7	219.6	238.7	244.3	313.5
Inventory	43.2	58.4	55.5	86.4	111.7
Receivable	55.1	44.0	69.1	87.6	104.2
Current assets	290.9	351.0	387.8	443.7	555.8
Fixed Assets	53.3	56.9	54.2	41.2	28.1
Goodwill & intangibles	81.2	82.3	79.4	76.3	73.3
Other LT assets	209.6	207.7	191.5	192.8	194.1
LT assets	344.1	346.8	325.2	310.3	295.5
Total assets	635.0	697.9	712.9	754.0	851.3
Payable	38.8	40.8	36.3	49.5	60.2
Other liability	193.2	226.1	198.4	218.9	241.9
Current liabilities	232.0	266.9	234.8	268.4	302.1
LT liabilities	28.8	25.9	27.1	24.7	23.2
Total liabilities	260.8	292.8	261.8	293.2	325.3
Common shares	16.0	16.0	16.0	16.0	16.0
Retained earnings	212.7	210.6	271.1	280.9	346.0
Equity	374.2	405.1	451.1	460.8	526.0
Liability&equity	635.0	697.9	712.9	754.0	851.3

RATIOS & PER SHARE DATA *

FYE Dec. (TWD)	FY23A	FY24A	FY25F	FY26F	FY27F
Gross margin	48%	50%	48%	45%	43%
EBITDA Margin	21%	23%	21%	19%	20%
Op. Profit Margin	17%	19%	18%	15%	18%
Net Profit Margin	18%	20%	18%	16%	17%
ROE (%)	19%	27%	25%	21%	29%
ROA (%)	12%	16%	15%	13%	18%
Gross gearing	4%	5%	5%	4%	3%
Net gearing	-40%	-46%	-45%	-46%	-54%
Asset turn (x)	0.7	0.8	0.8	0.8	1.0
Leverage (x)	1.5	1.7	1.6	1.6	1.6
Payable days	48.7	54.5	45.4	46.7	42.0
Creditors days	40.4	34.2	35.0	47.2	42.2
Inventory days	92.0	69.6	67.1	77.2	75.8
EPS	48.3	66.8	65.4	59.3	88.8
BVPS	235.0	254.3	281.3	287.3	327.9
Net cash per share	103.0	126.4	135.0	139.9	184.0
SPS	272.2	333.1	369.1	378.6	518.8
FCFPS	98.4	89.3	72.6	57.0	91.2
DPS*	76.0	55.0	53.7	53.2	48.2

Source: Company, Aletheia/TAG

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